

Evolving the Partnership for the Next Chapter

Collective Shift × Alchemy — Proposed Compensation Framework

From: Ben Simpson, Collective Shift **To:** Sanjay & Kishan, Alchemy **Prepared:** April 2026 **Status:** For discussion

WHERE WE'RE AT

Boys — first of all, what you've built with us has been real. 203% ARR growth year-on-year, US\$5.2M ARR, a sales engine that actually converts. None of that happens without the work you've done on creative, media buying, and funnel execution.

We're coming up on the raise close and scaling the business from ~\$500K/month revenue toward US\$2M/month by end of year. That means the commercial structure needs to evolve with us. The current deal was set up for a different stage of the business — it worked when we were proving the model, but at this scale the math stops working for both sides when MER or margin dips.

What's below is two options. Both are uncapped, both scale directly with performance, both keep you as our primary marketing partner through the US expansion and the raise. The goal is to align what you earn with what the business actually makes — so every month we're both winning or both tightening the screws together.

HOW THE COMMISSION BASE IS CALCULATED

Both options are calculated on **contribution margin** — the actual profit the business keeps after paying for ads, refunds, platform fees, and the sales team. This is the number we're both working to grow.

Contribution margin — worked example at A\$150K ad spend / 5.6× MER	
New sales revenue (paid + organic)	A\$844,571
Less: 10% GST	-A\$84,457
Less: 3% merchant fees	-A\$25,337
Less: 7% refund reserve	-A\$59,120
Less: 15% sales commissions (10% closer + 5% setter)	-A\$126,686
Gross margin	A\$548,971 (65%)
Less: ad spend	-A\$150,000
Contribution margin (commission base)	A\$398,971

Commissionable base includes organic new sales (DM-driven) and paid new sales. Renewals (~A\$225K/month in March 2026) are excluded from commission — that revenue covers team and overhead. Model is based on Platinum (A\$20K) + Pro (A\$3K) product ladder with current 35% variable cost structure.

OPTION A · SIMPLE

Flat 15% of Contribution Margin

Retainer	None
Commission rate	15% flat
Calculation base	Contribution margin
Cap	Uncapped
Applies to	All new sales

The simplest structure: **15% of every dollar of contribution margin**, no floor, no ceiling, no tiers. When the business makes more, you make more — linear, uncapped, predictable.

Best fit if Alchemy wants maximum upside as we scale ad spend toward A\$200K+/month. At US\$2M/month revenue (our 12-month target), this pays ~**US\$55K/month**.

OPTION B · TIERED + FLOOR

OUR RECOMMENDATION

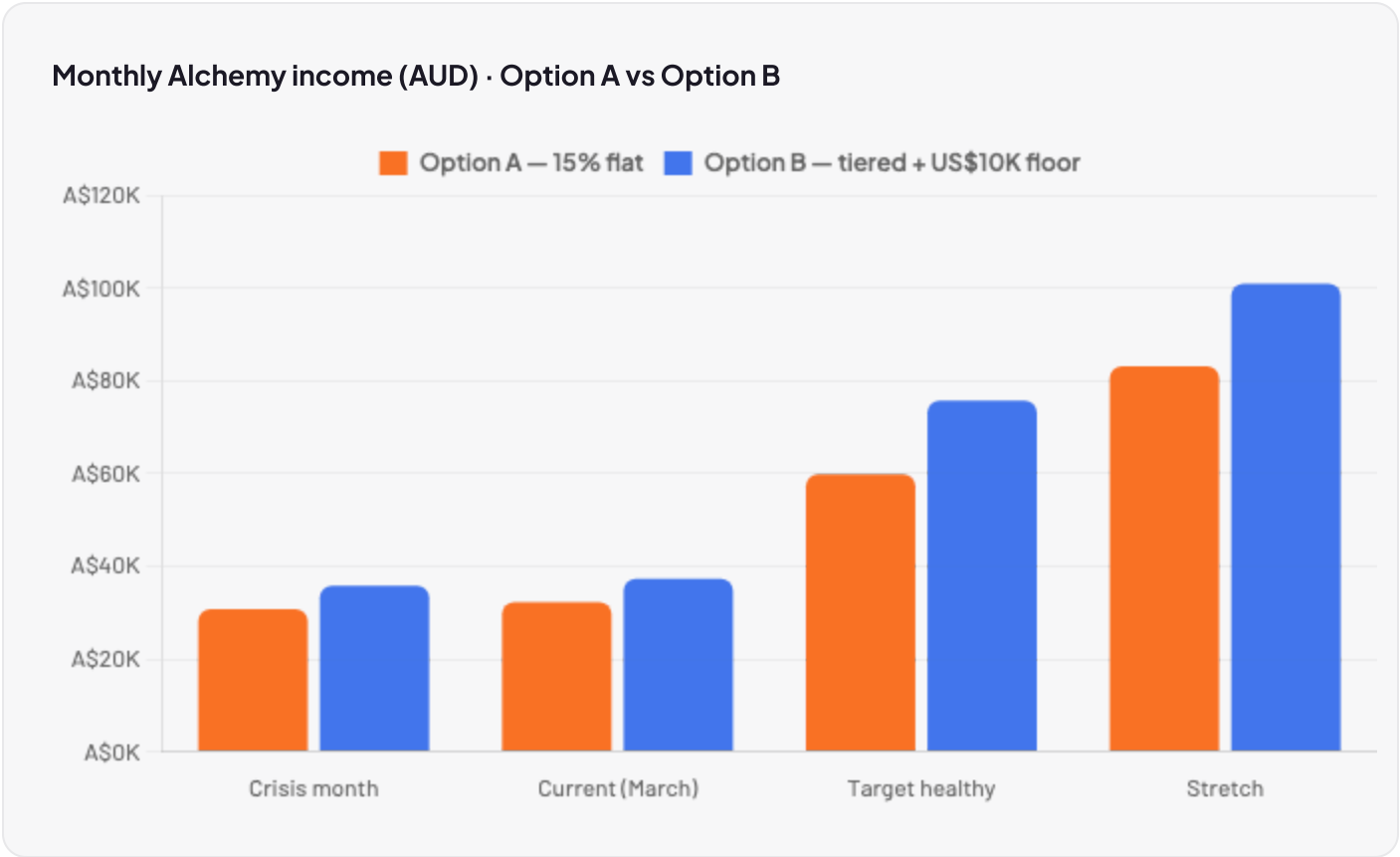
Tiered 10 / 15 / 20% + US\$10K Floor Retainer

Retainer	US\$10,000/mo (~A\$15.8K)
Commission (tiered on contribution)	
Tier 1 — up to A\$300K	10%
Tier 2 — A\$300K-500K	15%
Tier 3 — above A\$500K	20%
Cap	Uncapped
Applies to	All new sales

US\$10K/month floor for certainty, plus tiered commission that rewards scale: 10% on the first A\$300K of contribution, 15% in the A\$300-500K band, and **20% on every dollar above A\$500K**.

At our 12-month target this pays ~**US\$47K/month** with a guaranteed floor in ramp months. 20% top tier is higher than most performance retainers in market.

WHAT ALCHEMY EARNS – ACROSS THE FOUR SCENARIOS WE MODEL



Scenarios based on actual CS performance data. "Crisis" = Feb 2026 high-spend low-MER month. "Current" = March 2026 run rate. "Healthy" = target operating state (A\$150K ads, 5.6x MER). "Stretch" = top-of-range performance month.

FULL SCENARIO BREAKDOWN

SCENARIO	AD SPEND	REVENUE	MER	CONTRIBUTION MARGIN	OPTION A 15% FLAT	OPTION B 10/15/20 + US\$10K FLOOR
Crisis month (high spend, low MER — e.g. Feb 2026)	A\$273,000	A\$735,200	2.69x	A\$204,880	A\$30,732 ~US\$19,362	A\$35,788 ~US\$22,547
Current run rate (March 2026 baseline)	A\$77,000	A\$449,252	5.83x	A\$215,014	A\$32,252 ~US\$20,319	A\$37,301 ~US\$23,500
Target healthy (A\$150K ads, 5.6x MER)	A\$150,000	A\$844,571	5.63x	A\$398,971	A\$59,846 ~US\$37,703	A\$75,646 ~US\$47,657
Stretch month (A\$200K ads, strong creative)	A\$200,000	A\$1,160,429	5.80x	A\$554,279	A\$83,142 ~US\$52,379	A\$100,856 ~US\$63,539

Option B at current ad spend: US\$10K floor + 10% × A\$215K = A\$21,501 commission; total floor + commission = A\$37,301. USD conversions at 0.63 AUD/USD. Contribution margin = revenue after GST, merchant fees, refund reserve, sales commissions, and ad spend.

WHY WE THINK OPTION B IS THE RIGHT DEAL FOR BOTH SIDES

FOR ALCHEMY

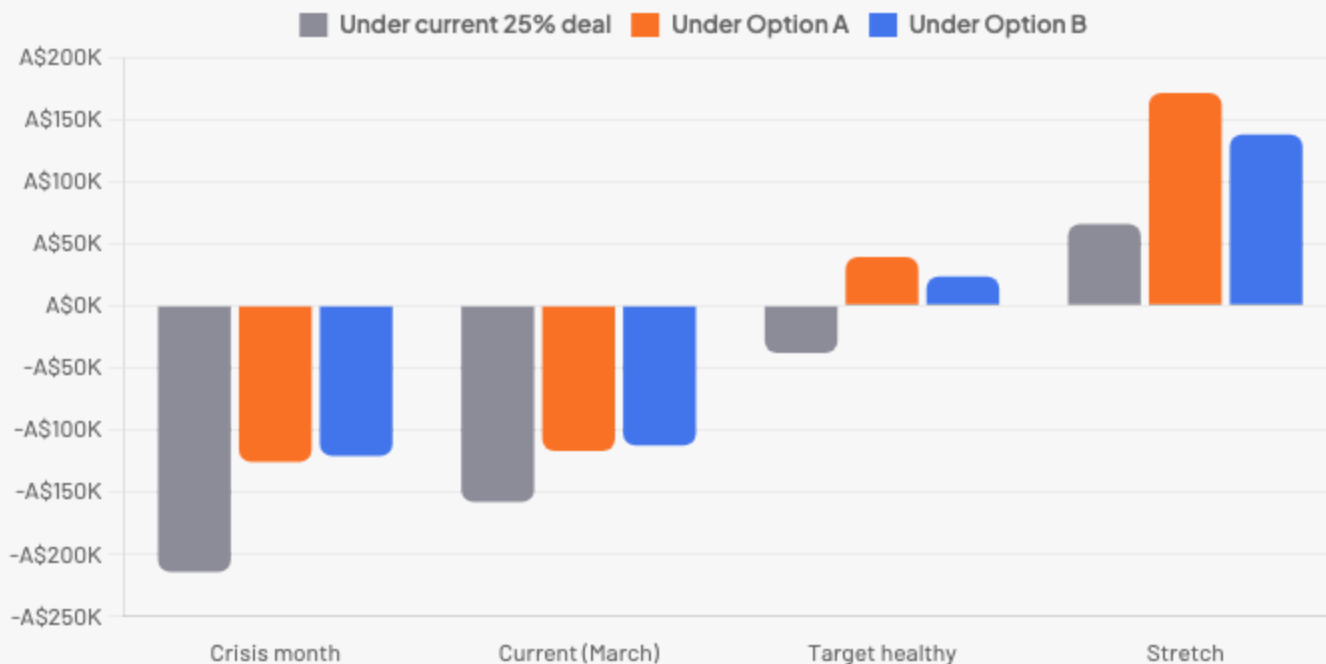
- **US\$10K/month floor.** Covers your team's service cost even in a bad creative cycle or seasonal dip. Never working for free.
- **20% top tier is industry-leading.** Above A\$500K contribution, you earn more per dollar than any standard performance retainer pays at scale.
- **Scale = compounding upside.** As we push toward US\$2M/month, the 20% tier activates more months, and your income grows non-linearly.
- **Uncapped forever.** No ceiling. The better we do, the better you do.

FOR COLLECTIVE SHIFT

- **Lower fee burden when MER is bad.** When ads underperform, we're not paying premium rates on thin margins. Protects cash runway.
- **Aligned incentives.** Both sides win when contribution grows. Both sides tighten when it doesn't.
- **Cleaner story for the raise.** Investors want to see that marketing cost scales with outcomes, not ad budget.
- **Signals partnership maturity.** Moving from "pay the agency" to "share the business" is what exit-ready companies do.

WHAT THIS MEANS FOR CS PROFITABILITY

CS monthly net profit after Alchemy fee and opex (AUD)



Shown net of fixed operating cost (~A\$300K/month) and Alchemy commission under each option. Positive bars = CS is profitable that month. Both A and B move CS from loss-making to profitable at target ad spend – the current structure doesn't.

PROPOSED NEXT STEPS

- 1. Pick your preferred option** – or propose a hybrid you think is fairer. We've done the modelling but we're not married to every number. If 20% should be 18%, or the floor should be US\$12K, we can work it.
- 2. Backdate effective April 1.** We both know the current structure wasn't going to last once we got past proving the model. Better to formalise the new one now than litigate which month it starts.
- 3. 12-month term with 90-day review.** If either side thinks it's not working after Q1, we meet and adjust. No lock-ins, no games.
- 4. US trip – let's close it in person.** I'm in Miami for the next stretch. Happy to fly to wherever you are or hop on a long-form Zoom once you've digested this. Aim to have terms agreed inside two weeks.

The opportunity ahead

We're not asking you to take a pay cut — we're asking you to back yourselves on the scale we're building toward. At US\$2M/month revenue with 5x+ MER, Option B pays Alchemy **US\$60K+/month**. That's before any US expansion upside.

The raise is closing. The US launch is live. The next 12 months are the most important in this company's history. We want Alchemy with us for all of it — at a structure that works when we're scaling and works when we're not.

Read this, run the numbers, then let's talk.